

Exercise A3 | ECON 0100

Hagrid can bake 20 rock cakes (R) or 30 fruitcakes (F) in one day and Professor McGonagall can bake 10 rock cakes or 5 fruitcakes in one day (*from Exercise A2*).

Q1 | Specialization

Like we found in Exercise A2, Hagrid has the comparative advantage in fruitcakes and McGonagall in rock cakes. How much does each baker produce in one day if they specialize accordingly?

Hagrid: _____

McGonagall: _____

Q2 | Trade

Suppose Hagrid and McGonagall decide they want to specialize and trade goods. After they specialize, what is a trade that would make them both better off?

1 R for _____ F

Q3 | Workable Rates

Not every exchange rate works for both bakers. What is the range of exchange rates that would make both Hagrid and McGonagall better off?

Between ___ and ___ F per 1 R